

EQUITY: MEMORY

1Q26 earnings beat; LTAs to make profitability sustainable

Raise TP to KRW2,340,000; factoring in KRW's strong trade surplus-driven appreciation in our earnings

Maintain Buy and raise TP to KRW2,340,000; a strong KRW could have downside earnings impact vs. consensus estimates

We reiterate Buy and also raise 2026F/27F OP by 9%/4% (Fig. 4), reflecting the better-than-expected earnings outlook. We also raise our 12MF TP by 21% from KRW1,930,000 to KRW2,340,000, applying a target P/B of 3.5x (unchanged) to 12MF BPS of KRW668,186. Memory players' discussions with key customers on long-term agreements (LTAs) with favorable terms regarding volume, pricing, and down payments are ongoing. If such contracts are successfully made and become a new business model for the memory industry, we believe memory players' high profitability will be sustainable over the mid- to long-term, reducing their risk premium which are currently significantly higher than other tech companies, and underpinning further share price re-rating. Based on the current share price, we anticipate 2026F/27F free cashflow return (vs. market cap) to be 17%/33%, and if we assume 50% of FCF being dedicated to shareholder returns (dividend and treasury share cancellation), the total shareholder return yield will be half of FCF return, at 8%/17% for 2026F/27F.

Our earnings forecasts now incorporate the potential strength of KRW. We assume end-2027F/28F USD/KRW of 1,270/1,220, implying 14%/17% higher USD/KRW vs. current levels. We expect both the two Korea memory suppliers' (Hynix and Samsung Electronics [005930 KS, Buy]) 2026F profits to be ~7x higher than that in 2025, generating ~25% of Korea's 2025 GDP as profits over next several years (vs. in 2025, their profits were ~3% of 2025 GDP). This is equivalent to 100-150% of Korea's current foreign exchange reserve, which will far exceed the cash outflows from not only semiconductor companies' equipment imports, but also foreign stock investments and direct investments by the Korea economy. In case KRW appreciates vs. USD, we believe the revenue in KRW will certainly face downsides, while the FX impact on cost decrease will be limited as fixed costs in KRW (salaries and bonuses) now have much higher weight than before. Considering these factors, we revise 2027F revenue and OP only by -0.2% and +3.7%, respectively. However, based on our FX assumptions, we raise our USD-based 2027F revenue/OP by 9%/14%.

Our new TP implies a 91% upside to the current price in KRW. Considering potential KRW strength, we believe USD-based upsides will be even greater at 112% (based on current USD-based share price vs. USD-based TP under our assumed 12MF FX rate).

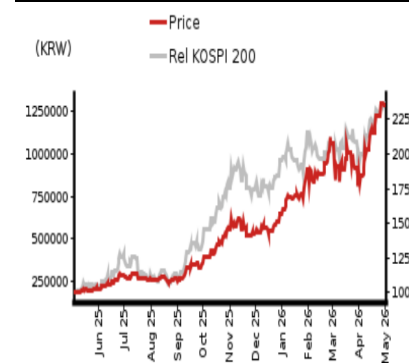
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Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (KRW)	Actual	Old	New	Old	New	Old	New
Revenue (bn)	97,147	344,664	357,774	493,077	491,909	0	602,521
Reported net profit (bn)	42,948	205,529	234,239	293,519	304,157	0	352,286
Normalised net profit (bn)	42,948	205,529	234,239	293,519	304,157	0	352,286
FD normalised EPS	58,710	288,380	328,664	411,840	426,766		545,166
FD norm. EPS growth (%)	116.9	391.2	459.8	42.8	29.8		27.7
FD normalised P/E (x)	21.9	—	3.9	—	3.0	—	2.4
EV/EBITDA (x)	15.2	—	2.6	—	1.5	—	0.7
Price/book (x)	7.3	—	2.5	—	1.6	—	0.7
Dividend yield (%)	0.2	—	0.8	—	1.6	—	0.2
ROE (%)	44.1	93.3	100.1	72.1	70.8		51.8
Net debt/equity (%)	6.1	net cash	net cash	net cash	net cash		net cash

Source: Company data, Nomura estimates

Rating Remains	Buy
Target price Increased from KRW 1,930,000	KRW 2,340,000
Closing price 30 April 2026	KRW 1,286,000
Implied upside	+82.0%
Market Cap (USD mn)	617,195.1
ADT (USD mn)	2,841.3

Relative performance chart



Source: LSEG, Nomura

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Key data on SK Hynix

Performance

(%)	1M	3M	12M		
Absolute (KRW)	59.4	41.5	624.5	M cap (USDmn)	617,195.1
Absolute (USD)	64.0	38.2	593.1	Free float (%)	64.0
Rel to KOSPI 200	26.1	12.4	431.6	3-mth ADT (USDmn)	2,841.3

Income statement (KRWbn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	66,193	97,147	357,774	491,909	602,521
Cost of goods sold	-34,365	-38,456	-57,837	-88,952	-135,314
Gross profit	31,828	58,691	299,937	402,957	467,207
SG&A	-8,361	-11,484	-20,389	-24,095	-28,253
Employee share expense	0	0	0	0	0
Operating profit	23,467	47,206	279,548	378,862	438,954
EBITDA	35,827	61,200	295,887	401,279	472,467
Depreciation	-12,360	-13,993	-16,339	-22,417	-33,513
Amortisation					
EBIT	23,467	47,206	279,548	378,862	438,954
Net interest expense	-1,000	-429	350	1,140	1,140
Associates & JCEs	-38	-565	9,980	160	160
Other income	1,457	4,253	2,539	34	104
Earnings before tax	23,885	50,466	292,417	380,196	440,358
Income tax	-4,088	-7,518	-58,178	-76,039	-88,072
Net profit after tax	19,797	42,948	234,239	304,157	352,286
Minority interests	0				
Other items	0				
Preferred dividends	0				
Normalised NPAT	19,797	42,948	234,239	304,157	352,286
Extraordinary items					
Reported NPAT	19,797	42,948	234,239	304,157	352,286
Dividends	-1,522	-2,066	-7,070	-13,224	-969
Transfer to reserves	18,275	40,882	227,170	290,933	351,317

Valuations and ratios

Reported P/E (x)	44.7	20.6	3.8	2.9	2.4
Normalised P/E (x)	44.7	20.6	3.8	2.9	2.4
FD normalised P/E (x)	47.5	21.9	3.9	3.0	2.4
Dividend yield (%)	0.2	0.2	0.8	1.6	0.2
Price/cashflow (x)	31.6	17.6	5.0	2.8	2.3
Price/book (x)	12.0	7.3	2.5	1.6	0.7
EV/EBITDA (x)	25.9	15.2	2.6	1.5	0.7
EV/EBIT (x)	39.6	19.8	2.7	1.5	0.7
Gross margin (%)	48.1	60.4	83.8	81.9	77.5
EBITDA margin (%)	54.1	63.0	82.7	81.6	78.4
EBIT margin (%)	35.5	48.6	78.1	77.0	72.9
Net margin (%)	29.9	44.2	65.5	61.8	58.5
Effective tax rate (%)	17.1	14.9	19.9	20.0	20.0
Dividend payout (%)	7.7	4.8	3.0	4.3	0.3
ROE (%)	31.1	44.1	100.1	70.8	51.8
ROA (pretax %)	23.3	34.6	132.4	128.7	125.7

Growth (%)

Revenue	102.0	46.8	268.3	37.5	22.5
EBITDA	525.9	70.8	383.5	35.6	17.7
Normalised EPS		116.8	445.4	29.8	23.4
Normalised FDEPS		116.9	459.8	29.8	27.7

Source: Company data, Nomura estimates

Cashflow statement (KRWbn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	35,827	61,200	295,887	401,279	472,467
Change in working capital	1,987	3,111	-56,057	73,008	-8,201
Other operating cashflow	-8,019	-10,937	-55,783	-148,803	-98,215
Cashflow from operations	29,796	53,373	184,048	325,484	366,051
Capital expenditure	-15,946	-27,519	-42,657	-61,000	-96,000
Free cashflow	13,850	25,854	141,391	264,484	270,051
Reduction in investments	-1,695	-28,765	-1,278	-1,343	-1,411
Net acquisitions					
Dec in other LT assets	0	0	0	0	0
Inc in other LT liabilities	-2,665	433	80	81	83
Adjustments	2,301	7,796	852	-81	-83
CF after investing acts	11,791	5,319	141,045	263,141	268,640
Cash dividends	-826	-1,681	-1,033	-969	-969
Equity issue	115	4,467	-94	0	0
Debt issue	-7,376	768	-7,754	-8,000	-6,000
Convertible debt issue	0	0	0	0	0
Others	-86	-5,153	3,031	-63,626	0
CF from financial acts	-8,173	-1,600	-5,850	-72,595	-6,969
Net cashflow	3,618	3,719	135,195	190,546	261,671
Beginning cash	7,587	11,205	14,924	150,119	340,665
Ending cash	11,205	14,924	150,119	340,665	602,336
Ending net debt	11,479	7,324	-135,801	-332,474	-599,342

Balance sheet (KRWbn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	11,205	14,924	150,119	340,665	602,336
Marketable securities	2,951	20,018	20,018	20,018	20,018
Accounts receivable	13,019	18,199	64,484	71,667	91,930
Inventories	13,314	14,289	40,505	36,013	36,957
Other current assets	1,790	2,027	16,855	10,695	-1,812
Total current assets	42,279	69,458	291,981	479,058	749,429
LT investments	13,400	25,097	26,375	27,718	29,129
Fixed assets	60,157	77,503	103,820	142,403	204,890
Goodwill	4,019	4,049	4,214	4,385	4,563
Other intangible assets					
Other LT assets	0	0	0	0	0
Total assets	119,855	176,108	426,390	653,564	988,011
Short-term debt	5,252	8,162	891	140	318
Accounts payable	2,277	2,848	6,190	8,051	9,770
Other current liabilities	17,436	26,369	54,299	121,976	120,757
Total current liabilities	24,965	37,379	61,379	130,167	130,845
Long-term debt	17,432	14,086	13,427	8,052	2,676
Convertible debt	0	0	0	0	0
Other LT liabilities	3,543	3,976	4,055	4,136	4,219
Total liabilities	45,940	55,441	78,861	142,355	137,740
Minority interest	0	0			
Preferred stock	0	0			
Common stock	3,658	3,658	3,564	3,564	3,564
Retained earnings	65,418	106,577	333,639	560,946	900,008
Proposed dividends	0	0			
Other equity and reserves	4,840	10,433	10,326	-53,300	-53,300
Total shareholders' equity	73,916	120,667	347,529	511,209	850,271
Total equity & liabilities	119,855	176,108	426,390	653,564	988,011

Liquidity (x)

Current ratio	1.69	1.86	4.76	3.68	5.73
Interest cover	23.5	109.9	-	-	-

Leverage

Net debt/EBITDA (x)	0.32	0.12	net cash	net cash	net cash
Net debt/equity (%)	15.5	6.1	net cash	net cash	net cash

Per share

Reported EPS (KRW)	28,769	62,368	340,159	441,692	545,166
Norm EPS (KRW)	28,769	62,368	340,159	441,692	545,166
FD norm EPS (KRW)	27,062	58,710	328,664	426,766	545,166
BVPS (KRW)	107,339	175,230	504,676	791,101	1,850,025
DPS (KRW)	2,210	3,000	10,266	20,465	2,109

Activity (days)

Days receivable	54.1	58.6	42.2	50.5	49.7
Days inventory	142.3	131.0	172.9	157.0	98.7
Days payable	21.9	24.3	28.5	29.2	24.1
Cash cycle	174.5	165.3	186.6	178.3	124.3

Source: Company data, Nomura estimates

Company profile

SK Hynix Inc. provides products and services for the electronic components industries. The Company manufactures semiconductors such as dynamic random access memory (DRAM) and NAND flash memory.

Valuation Methodology

Our 12-month target price of KRW2,340,000 is derived by applying a target P/B of 3.5x to 12MF BVPS of KRW668,186. The benchmark index for this stock is the KOSPI 200.

Risks that may impede the achievement of the target price

US tariffs on semiconductor products

ESG

We believe Hynix is heavily focused on following ESG policies. Recently Hynix issued green bonds worth USD 1 billion (KRW 1.1 trillion) and social bonds worth KRW 440 billion to ESG. Green bonds are used for eco-friendly projects such as water quality management, energy efficiency, pollution prevention, and ecological environment restoration and social infrastructure. Social bonds are invested in projects to solve social problems, such as creating jobs, supporting the vulnerable, and building social infrastructure. Both bonds are used exclusively for ESG purposes. Furthermore, Hynix announced the mid- to long-term roadmap 'SV 2030' for maximizing social value creation and set goals in four areas: environment, shared growth, social safety net, and corporate culture. The company presented a direction to focus on ESG management and explained that Hynix would strengthen 'RE100' and 'Zero Net Emissions', which increase the use of renewable energy to 100% by 2050.

1Q26 OP slightly above our estimates; strong earnings thanks to ASP growth despite a decrease in shipments

Hynix recorded 1Q26 revenue of KRW53tn (+198% y-y) and OP of KRW38tn (+405% y-y), which were a slight beat vs. our forecasts and significant earnings surprise compared to beginning-of-the-year market consensus. Hynix's 1Q OPM was at 72% (+29pp y-y), and NP was at KRW40tn (+398% y-y), reflecting KRW10tn of investment gains from Kioxia (285A JP, Buy). We estimate that DRAM/NAND shipments declined by 2%/10% q-q, which are slower vs. our forecasts (DRAM/NAND -1%/-1%), and that DRAM/NAND ASP grew by 65%/73% q-q, which are moderately beyond our forecasts (DRAM/NAND +60%/+65%). We estimate Hynix's 1Q DRAM/NAND OPM were 77%/55% (+10pp/+24pp q-q).

Expect 2026F/27F OP of KRW280tn/379tn (+492%/+36% y-y); 2026F DRAM/NAND price to grow +175%/+280% y-y

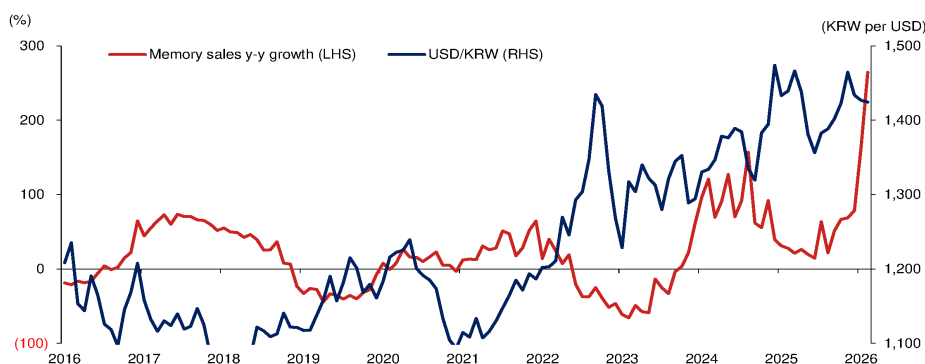
For 2Q26F, we forecast OP to grow by 79% q-q to KRW68tn, as we expect commodity DRAM/NAND prices to increase by 51%/65% q-q. Due to delayed Vera Rubin launch, we lower our 2026F annual HBM shipment growth estimate by 19pp to 24% y-y, while we raise commodity DRAM shipment growth by 1pp to 25% y-y. We also believe Hynix's annual NAND shipment will grow by 30% y-y. We also adjust our forecasts on 2026F annual DRAM/NAND price growth from +166%/+206% y-y to +175%/+280% y-y, lower average USD/KRW assumption from KRW1,460 to KRW1,423, and expect Hynix's 2026F OP to be KRW280tn (+492% y-y). For 2027F, we change DRAM/NAND price growth estimates from +11%/+7% y-y to +9%/+22%, lower USD/KRW assumptions from KRW1,442 to KRW1,315, and we expect 2027F OP to be KRW379tn (+36% y-y).

Fig. 1: Hynix – 1Q26P earnings results

(K-IFRS based)	1Q26P			4Q25	% q-q	1Q25	% y-y
Unit: KRWbn, %	NMR est.	Actual	Diff. %				
Sales	52,849	52,580	-0.5%	32,827	60.2%	17,639	198.1%
Sales - DRAM	40,262	40,755	1.2%	25,346	60.8%	13,957	192.0%
Sales - NAND	12,071	11,349	-6.0%	7,314	55.2%	3,139	261.6%
Sales - Other	516	476	-7.8%	167	185.9%	543	-12.4%
Operating Profit	35,843	37,610	4.9%	19,170	96.2%	7,441	405.5%
OP - DRAM	29,679	31,575	6.4%	17,121	84%	7,482	322%
OP - NAND	6,423	6,216	-3.2%	2,272	174%	44	N/A
% OPM	68%	72%	3.7%p	58%	13%p	42%	29%p
% OPM - DRAM	74%	77%	3.8%p	68%	10%p	54%	24%p
% OPM - NAND	53%	55%	1.6%p	31%	24%p	1%	53%p
Net Profit	28,749	40,346	40.3%	15,246	164.6%	8,108	397.6%
DRAM bit shipment (8Gb eq., mn)	3,051	3,016		3,087		2,250	
% q-q	-1%	-2%	-1.1%p	2%		-8%	
DRAM ASP (8Gb eq., USD)	9.04	9.32		0.71		0.53	
% q-q	60%	65%	5.0%p	24%		0%	
NAND bit shipment (8GB eq., mn)	7,811	7,052		7,858		4,463	
% q-q	-1%	-10%	-9.7%p	9%		-19%	
NAND ASP (8GB eq., USD)	105.85	110.98		64.15		48.41	
% q-q	65%	73%	8.0%p	32%		-20%	
KRW:USD1	1,460	1,450		1,451		1,453	

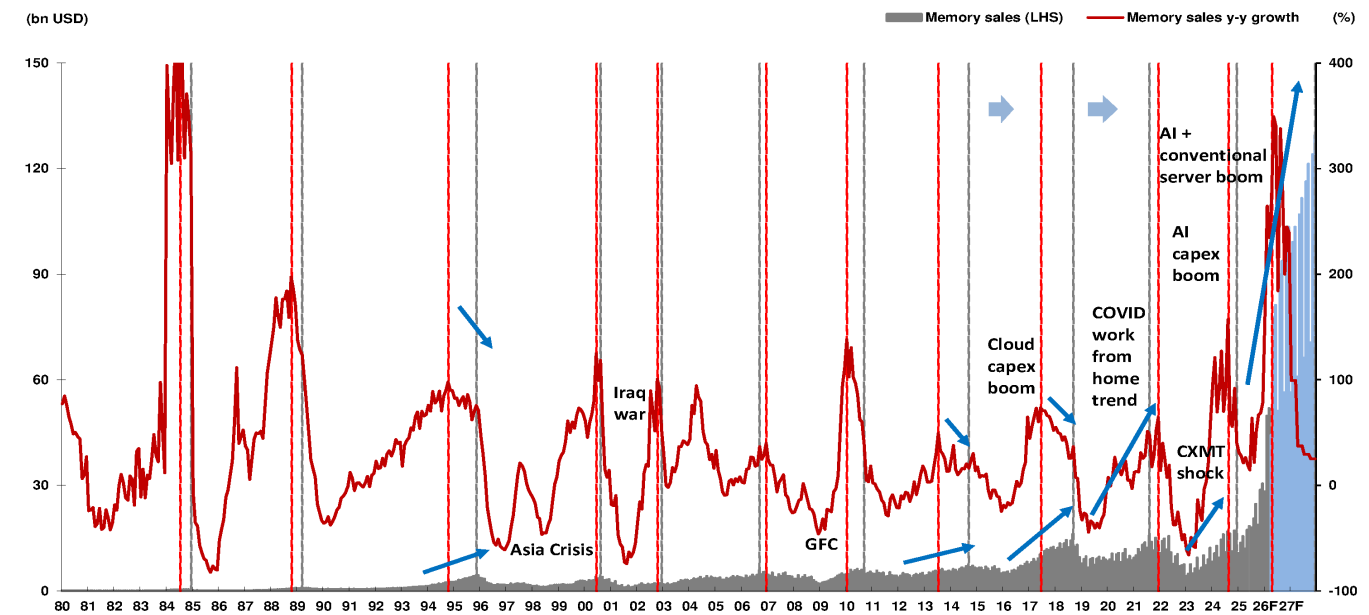
Source: Company data, Nomura estimates

Fig. 2: Global memory sales growth vs. USD/KRW over the past 10 years



Source: WSTS, Quantiwise, Nomura research

Fig. 3: Global memory sales and y-y growth



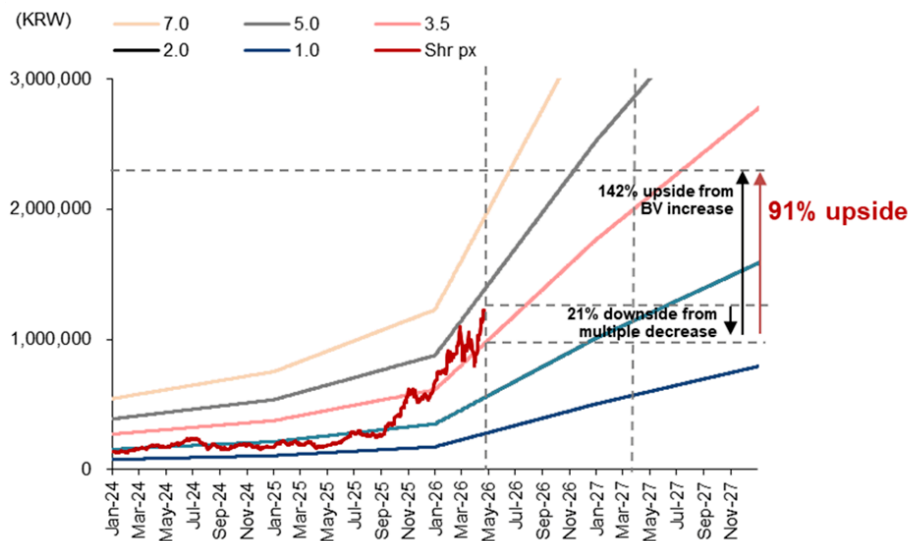
Source: WSTS, Nomura estimates

Fig. 4: Hynix – revisions to our earnings forecasts

(K-IFRS consolidated) Unit: KRWbn, %	2026F				2027F				2028F			
	Old	New	Diff. %	% y-y	Old	New	Diff. %	% y-y	Old	New	Diff. %	% y-y
Sales	344,664	357,774	3.8%	268.3%	493,077	491,909	-0.2%	37.5%	-	602,521	-	22.5%
Sales - DRAM	260,230	257,622	-1.0%	241.4%	372,487	345,117	-7.3%	34.0%	-	405,408	-	17.5%
Sales - NAND	82,805	98,576	19.0%	393.8%	119,043	145,295	22.1%	47.4%	-	195,691	-	34.7%
Sales - Other	1,630	1,576	-3.3%	-8.1%	1,548	1,497	-3.3%	-5.0%	-	1,422	-	-5.0%
Operating Profit	256,228	279,548	9.1%	492.2%	365,429	378,862	3.7%	35.5%	-	438,954	-	15.9%
OP - DRAM	201,974	209,824	3.9%	358.9%	285,160	273,238	-4.2%	30.2%	-	304,146	-	11.3%
OP - NAND	55,069	70,413	27.9%	3279.7%	81,043	106,372	31.3%	51.1%	-	135,021	-	26.9%
% OPM	74%	78%	3.8%p	29.5%p	74%	77%	2.9%p	-1.1%p	-	73%	-	-4.2%p
% OPM - DRAM	78%	81%	3.8%p	20.9%p	77%	79%	2.6%p	-2.3%p	-	75%	-	-4.2%p
% OPM - NAND	67%	71%	4.9%p	61.0%p	68%	73%	5.1%p	1.8%p	-	69%	-	-4.2%p
Net Profit	205,529	234,239	14.0%	445.4%	293,519	304,157	3.6%	29.8%	-	352,286	-	15.8%
DRAM bit shipment (1Gb eq., mn)	14,093	13,934	-1.1%	25.0%	18,479	18,551	0.4%	33.1%	-	23,189	-	25.0%
% y-y	26%	25%	-1.4%p		31%	33%	2.0%p		-	25%	-	
DRAM ASP (1Gb eq., USD)	12.65	13.00	2.8%	173.3%	13.98	14.15	1.2%	8.8%	-	14.07	-	-0.5%
% y-y	166%	173%	7.4%p		11%	9%	-1.7%p		-	-1%	-	
DRAM Cost (1Gb eq., USD)	2.83	2.41	-14.8%	28.6%	3.28	2.95	-10.1%	22.2%	-	3.51	-	19.3%
% y-y	51%	29%	-22.4%p		16%	22%	6.4%p		-	19%	-	
NAND bit shipment (8Gb eq., mn)	35,793	35,200	-1.7%	29.9%	48,694	45,993	-5.5%	30.7%	-	69,907	-	52.0%
% y-y	32%	30%	-2.2%p		36%	31%	-5.4%p		-	52%	-	
NAND ASP (8Gb eq., USD cents)	158.46	196.87	24.2%	280.3%	169.58	240.24	41.7%	22.0%	-	225.30	-	-6.2%
% y-y	206%	280%	74.2%p		7%	22%	15.0%p		-	-6%	-	
NAND Cost (8Gb eq., USD cents)	53.08	56.25	6.0%	21.3%	54.13	64.36	18.9%	14.4%	-	69.85	-	8.5%
% y-y	14%	21%	6.8%p		2%	14%	12.4%p		-	9%	-	
KRW:USD1	1,460	1,423	-2.6%	-0.1%	1,442	1,315	-8.8%	-7.6%	-	1,243	-	-5.5%

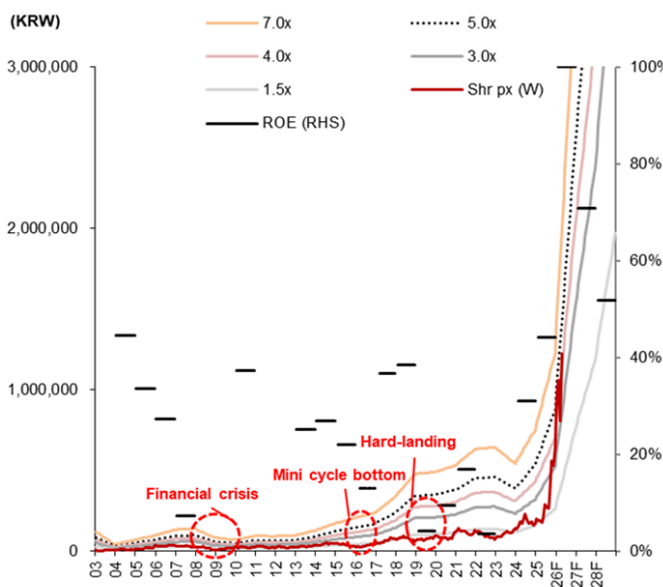
Sources: Nomura estimates

Fig. 5: Hynix - trailing P/B band: upside from BV increase



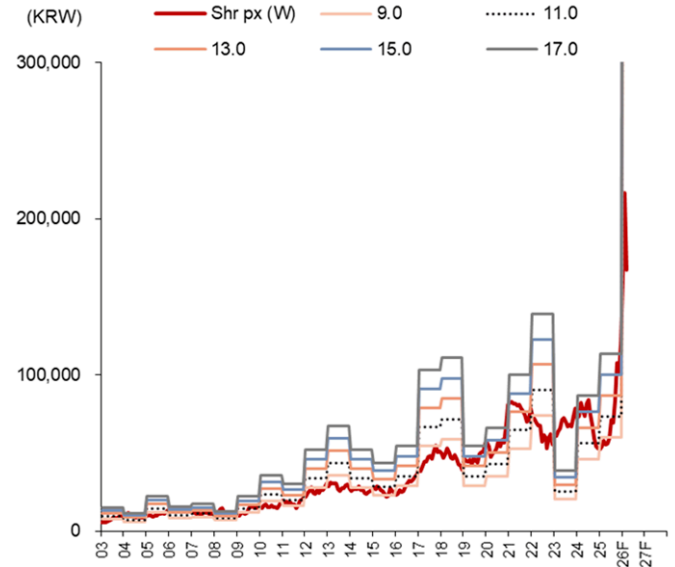
Source: Quantiwise, Nomura estimates

Fig. 6: Hynix - trailing P/B vs ROE



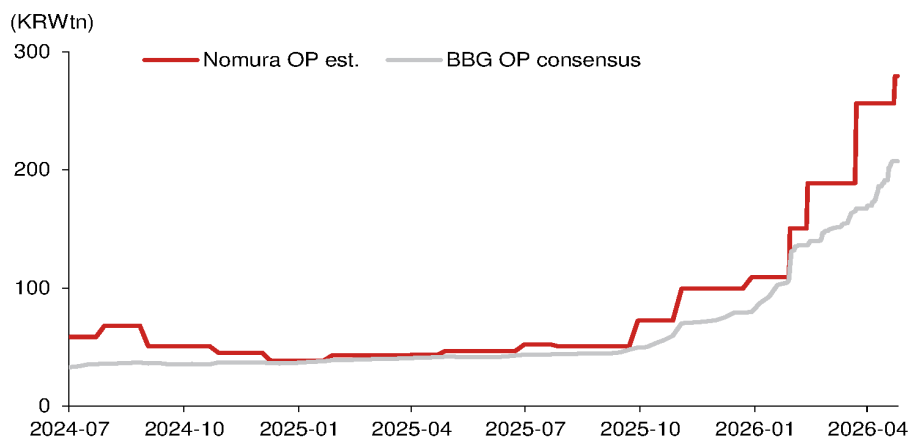
Sources: Bloomberg Finance L.P., Quantiwise, Nomura estimates

Fig. 7: Hynix - P/E vs share price



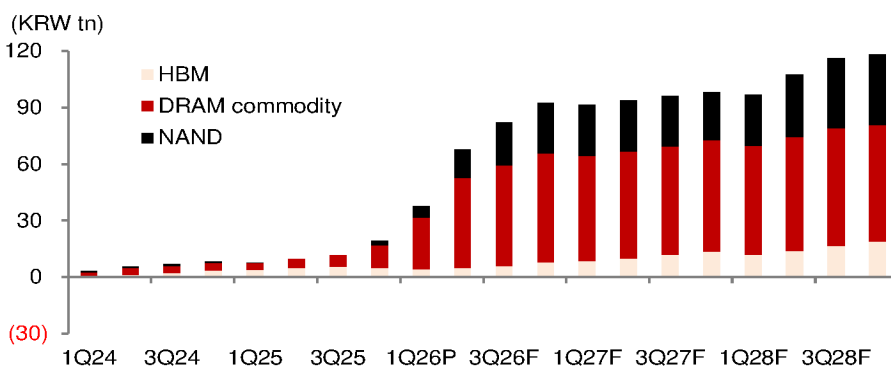
Source: Bloomberg Finance L.P., Quantiwise, Nomura estimates

Fig. 8: Hynix – 2026F OP consensus vs Nomura estimates



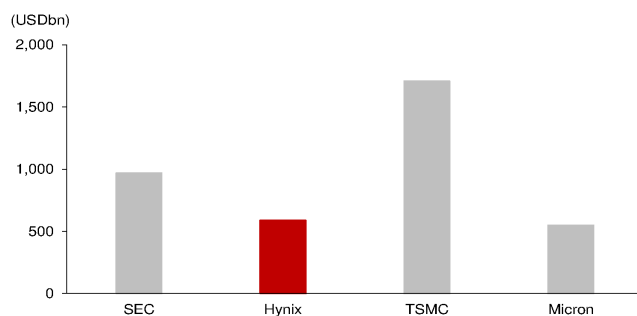
Source: Bloomberg Finance L.P., Nomura estimates

Fig. 9: Hynix - OP trend by product



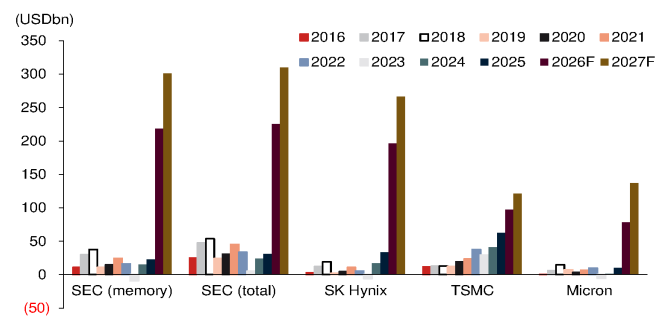
Source: Company data, Nomura estimates

Fig. 10: Market cap comparison – Hynix vs. peers



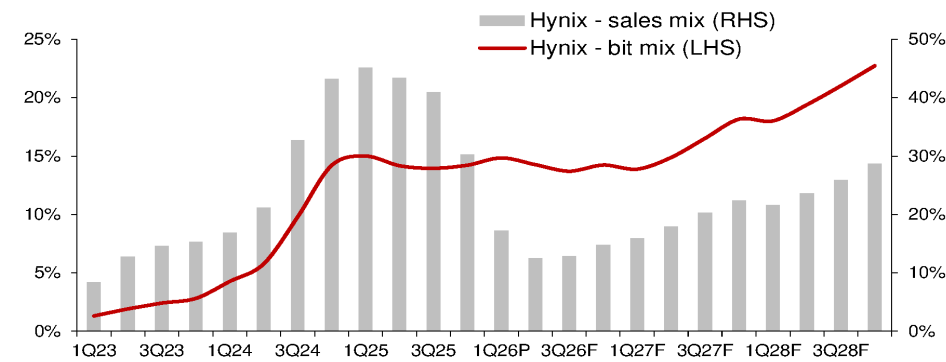
Note: Market cap as of 23 April 2026; SEC market cap includes both common and preferred shares.
Source: Company data, Nomura research

Fig. 11: OP comparison – Hynix vs. peers



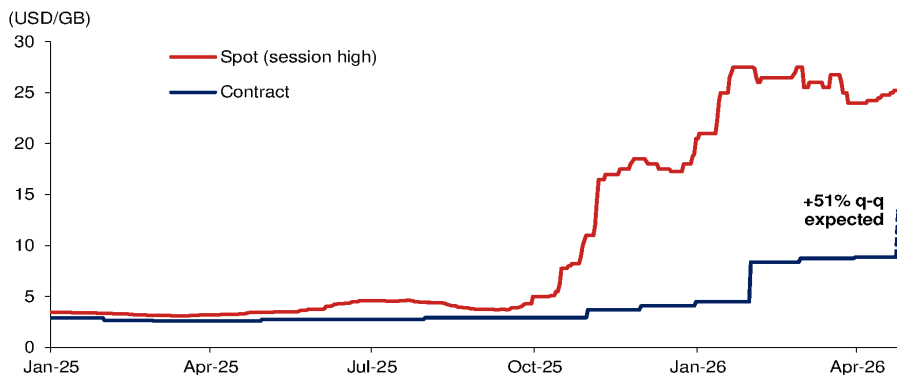
Note: Bloomberg consensus estimates for Micron
Source: Company data, Bloomberg Finance L.P., Nomura estimates.

Fig. 12: Hynix – HBM bit, sales mix in DRAM



Source: Company data, Nomura estimates

Fig. 13: DDR5 16Gb spot price vs contract price



Note: Converted DDR5 16Gb (2Gx8) 4800/5600 spot price and DDR5 16GB U-DIMM contract price into USD/GB unit.

Source: DrameXchange, Nomura research

Fig. 14: DRAM/NAND ASP forecast revisions

	1Q25	2Q25	3Q25	4Q25	1Q26P	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025	2026F	2027F
New forecasts															
DRAM blended ASP (USD/GB)	4.3	4.4	4.6	5.7	9.3	13.4	14.2	14.5	14.2	14.2	14.2	14.1	4.8	13.1	14.2
q-q (%)	0%	2%	4%	24%	65%	44%	6%	2%	-2%	0%	0%	0%			
y-y (%)	49%	32%	19%	33%	118%	208%	212%	156%	53%	6%	0%	-3%	32%	175%	9%
Commodity ASP	2.8	2.9	3.1	4.6	9.1	13.7	14.3	14.4	13.9	13.7	13.5	13.4	3.4	13.1	13.6
q-q (%)	-2%	4%	9%	47%	97%	51%	5%	1%	-4%	-1%	-1%	-1%			
y-y (%)	11%	4%	10%	63%	229%	377%	359%	213%	53%	0%	-6%	-7%	24%	285%	4%
HBM ASP	12.9	13.4	13.4	12.0	10.8	11.8	13.3	15.1	16.3	17.1	17.4	17.4	12.9	12.9	17.1
q-q (%)	-1%	4%	0%	-10%	-10%	9%	13%	13%	8%	5%	2%	0%			
y-y (%)	13%	10%	5%	-7%	-16%	-12%	0%	25%	50%	45%	31%	16%	2%	0%	33%
NAND ASP (US cents/GB)	6.1	5.5	6.1	8.0	13.9	22.9	28.6	30.0	30.0	30.0	30.0	30.0	6.5	24.6	30.0
q-q (%)	-20%	-10%	11%	32%	73%	65%	25%	5%	0%	0%	0%	0%			
y-y (%)	3%	-20%	-22%	6%	129%	318%	371%	275%	117%	31%	5%	0%	-7%	280%	22%
Old forecasts															
DRAM blended ASP (USD/GB)	4.3	4.4	4.6	5.7	9.0	13.0	13.7	14.1	14.0	14.0	14.0	13.9	4.8	12.6	14.0
q-q (%)	0%	2%	4%	24%	60%	44%	6%	3%	-1%	0%	0%	-1%			
Commodity ASP	2.8	2.9	3.1	4.6	8.7	13.2	13.8	13.9	13.5	13.3	13.2	13.0	3.4	12.6	13.2
q-q (%)	-2%	4%	9%	47%	90%	51%	5%	1%	-3%	-1%	-1%	-1%			
HBM ASP	12.9	13.4	13.4	12.0	10.8	11.8	13.3	15.1	16.3	17.1	17.4	17.4	12.9	13.1	17.1
q-q (%)	-1%	4%	0%	-10%	-10%	9%	13%	13%	8%	5%	2%	0%			
NAND ASP (US cents/GB)	6.1	5.5	6.1	8.0	13.2	19.8	21.8	22.9	22.2	21.6	20.9	20.3	6.5	19.8	21.2
q-q (%)	-20%	-10%	11%	32%	65%	50%	10%	5%	-3%	-3%	-3%	-3%			

Source: Company data, Nomura estimates

Fig. 15: Hynix— assumptions on DRAM (commodity, HBM), NAND ASP/cost/shipments

Total	2026F		2027F	
	Old	New	Old	New
OP (KRW tn)	256	280	365	379
y-y	443%	492%	43%	36%
DRAM	202	210	285	273
NAND	55	70	81	106
Others	-1	-1	-1	-1
OPM	74%	78%	74%	77%
DRAM	78%	81%	77%	79%
Commodity	81%	84%	81%	82%
HBM	58%	63%	62%	66%
NAND	67%	71%	68%	73%
DRAM OP (KRW tn)	202	210	285	273
Commodity	177	188	231	230
HBM	25	23	54	44
DRAM OPM	78%	81%	77%	79%
Commodity	81%	84%	81%	82%
HBM	58%	63%	62%	66%
DRAM OP mix (%)				
Commodity	87	90	81	84
HBM	13	11	19	16
ASP y-y	166%	175%	11%	9%
Commodity	270%	285%	5%	4%
HBM	1%	0%	31%	33%
Cost y-y				
Commodity	61%	40%	7%	19%
HBM	23%	8%	21%	22%
Bit shipment y-y	26%	25%	31%	33%
Commodity	24%	25%	26%	30%
HBM	43%	24%	56%	50%
Bit mix (%)				
Commodity	84%	86%	81%	84%
HBM	16%	14%	19%	16%
NAND OP (KRW tn)	55	70	81	106
OPM	67%	71%	68%	73%
ASP y-y	206%	280%	7%	22%
Cost y-y	14%	21%	2%	14%
Bit shipment y-y	32%	30%	36%	31%
KRW/USD	1,460	1,423	1,442	1,315

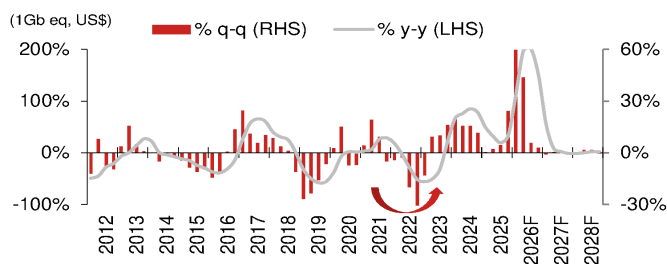
Source: Company data, Nomura estimates

Fig. 16: Hynix – quarterly earnings forecasts

K-IFRS, KRWbn	2025 Total	1QF	2QF	3QF	4QF	2026F Total	1QF	2QF	3QF	4QF	2027F Total	2028F Total
Sales	97,147	52,580	85,849	103,032	116,313	357,774	116,487	120,977	125,175	129,269	491,909	602,521
DRAM	75,470	40,755	64,218	72,111	80,538	257,622	79,795	83,599	88,159	93,563	345,117	405,408
Flash	19,961	11,349	21,211	30,491	35,525	98,576	36,240	36,979	36,607	35,468	145,295	195,691
Others	1,716	476	420	430	250	1,576	452	399	409	238	1,497	1,422
Cost of Goods Sold	38,456	10,901	13,521	15,550	17,865	57,837	20,161	21,483	22,938	24,370	88,952	135,314
Gross Profit	58,691	41,679	72,328	87,481	98,448	299,937	96,327	99,494	102,237	104,899	402,957	467,207
SG&A	11,484	4,069	4,820	5,500	6,000	20,389	5,086	5,784	6,325	6,900	24,095	28,253
Other operating gain(loss)	0	0	0	0	0	0	0	0	0	0	0	0
Operating Profit	47,206	37,610	67,508	81,981	92,448	279,548	91,240	93,710	95,912	97,999	378,862	438,954
DRAM	45,719	31,575	52,860	59,428	65,960	209,824	64,491	66,667	69,456	72,624	273,238	304,146
Flash	2,083	6,216	14,816	22,768	26,613	70,413	26,976	27,243	26,660	25,493	106,372	135,021
Others	-596	-181	-168	-215	-125	-689	-226	-200	-204	-119	-749	-213
Non-Operating Profit (Loss)	1,192	12,440	85	100	245	12,869	236	269	328	502	1,334	1,404
Net interest income	-429	30	60	120	140	350	200	240	300	400	1,140	1,140
FX transaction & translation Gain, net	-448	1,570	0	-45	-35	1,489	-24	-36	-37	-38	-136	-66
Equity Method and capital gain	-565	9,940	0	0	40	9,980	40	40	40	40	160	160
Pre-Tax Profit	50,466	50,050	67,593	82,081	92,693	292,417	91,476	93,979	96,240	98,501	380,196	440,358
Tax	-6,372	-9,704	-13,519	-16,416	-18,539	-58,178	-18,295	-18,796	-19,248	-19,700	-76,039	-88,072
Net Profit	42,948	40,346	54,074	65,665	74,154	234,239	73,181	75,183	76,992	78,801	304,157	352,286
EBITDA	61,136	41,340	71,438	86,250	97,087	296,115	96,232	99,132	101,792	104,363	401,519	472,707
Depreciation & Amortization	13,930	3,729	3,930	4,269	4,639	16,567	4,991	5,422	5,880	6,364	22,657	33,753
OP Margin	49%	72%	79%	80%	79%	78%	77%	77%	77%	76%	77%	73%
EBITDA Margin	63%	79%	83%	84%	83%	83%	83%	82%	81%	81%	82%	78%
Net Profit Margin	44%	77%	63%	64%	64%	65%	63%	62%	62%	61%	62%	58%
EPS (Annualized)	426,766	234,359	314,104	381,430	430,743	545,166	452,992	465,385	476,584	487,779	0	0
BPS	175,230	232,998	311,149	406,131	504,676	504,676	601,446	668,186	737,726	791,101	791,101	1,315,802
ROE	44%	115%	115%	106%	95%	100%	80%	73%	68%	64%	71%	52%
Share price (Period-end)	651,000	807,000	807,000	807,000	807,000	807,000	807,000	807,000	807,000	807,000	807,000	807,000
PBR (12M FWD)	3.7	3.5	2.6	2.0	1.6	1.6	1.3	1.2	1.1	1.0	1.0	0.6
PER (12M FWD)	14.9	1.8	1.7	1.7	1.7	18.5	-	-	-	-	18.5	18.5
DRAM sales (KRW, bn)	75,470	40,755	64,218	72,111	80,538	257,622	79,795	83,599	88,159	93,563	345,117	405,408
% q-q	0%	61%	58%	12%	12%	0%	-1%	5%	5%	6%	0%	0%
% y-y	66%	192%	276%	277%	218%	241%	96%	30%	22%	16%	34%	17%
Shipment (8Gb eq, mn)	11,150	3,016	3,295	3,601	4,022	13,934	4,125	4,424	4,782	5,219	18,551	23,189
% q-q	-	-2%	9%	12%	12%	3%	3%	7%	8%	9%	33%	25%
% y-y	21%	34%	18%	19%	30%	25%	37%	34%	33%	30%	33%	25%
ASP (8Gb eq, US\$)	4.8	9.3	13.4	14.2	14.5	13.0	14.2	14.2	14.2	14.1	14.1	14.1
% q-q	-	65%	44%	6%	2%	-2%	-2%	0%	0%	0%	-	-
% y-y	32%	118%	208%	212%	156%	173%	53%	6%	0%	-3%	9%	-1%
Cost (8Gb eq, US\$)	1.9	2.1	2.4	2.5	2.6	2.4	2.7	2.9	3.0	3.2	2.9	3.5
% q-q	-	14%	13%	5%	5%	4%	3%	5%	5%	5%	22%	19%
% y-y	-4%	6%	24%	39%	43%	29%	30%	21%	20%	20%	22%	19%
DRAM OP (KRW, bn)	45,719	31,575	52,860	59,428	65,960	209,824	64,491	66,667	69,456	72,624	273,238	304,146
OP margin	61%	77%	82%	82%	82%	81%	81%	80%	79%	78%	79%	75%
Flash sales (KRW, bn)	19,961	11,349	21,211	30,491	35,525	98,576	36,240	36,979	36,607	35,468	145,295	195,691
% q-q	-	55%	87%	44%	17%	2%	2%	2%	-1%	-3%	47%	35%
% y-y	5%	262%	355%	529%	386%	394%	219%	74%	20%	0%	47%	35%
Shipment (8Gb eq, mn)	27,092	7,052	7,989	9,447	10,711	35,200	11,087	11,569	11,717	11,620	45,993	69,907
% q-q	-	-10%	13%	18%	13%	4%	4%	4%	1%	-1%	31%	52%
% y-y	9%	58%	5%	31%	36%	30%	57%	45%	24%	8%	31%	52%
ASP (8Gb eq, US cents)	51.8	111.0	183.1	228.9	240.3	196.9	240.3	240.3	240.3	240.3	240.2	225.3
% q-q	-	73%	65%	25%	5%	0%	0%	0%	0%	0%	0%	-6%
% y-y	-7%	129%	318%	371%	275%	280%	117%	31%	5%	0%	22%	-6%
Cost (8Gb eq, US cents)	46.4	50.2	55.2	58.0	60.3	56.2	61.4	63.3	65.3	67.6	64.4	69.8
% q-q	-	14%	10%	5%	4%	2%	2%	3%	3%	3%	14%	9%
% y-y	0%	5%	20%	19%	36%	21%	22%	15%	13%	12%	14%	9%
Flash OP (KRW, bn)	2,083	6,216	14,816	22,768	26,613	70,413	26,976	27,243	26,660	25,493	106,372	135,021
OP margin	10%	55%	70%	75%	75%	71%	74%	74%	73%	72%	73%	69%

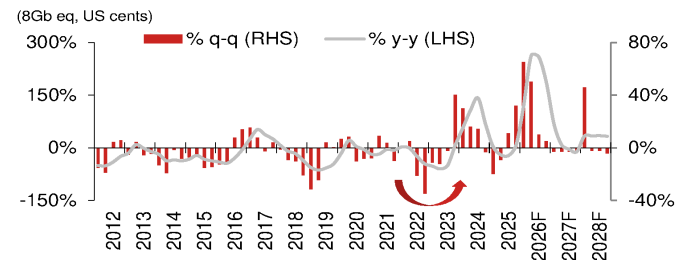
Sources: Company data, Nomura estimates

Fig. 17: Hynix – DRAM ASP change (q-q %, y-y %)

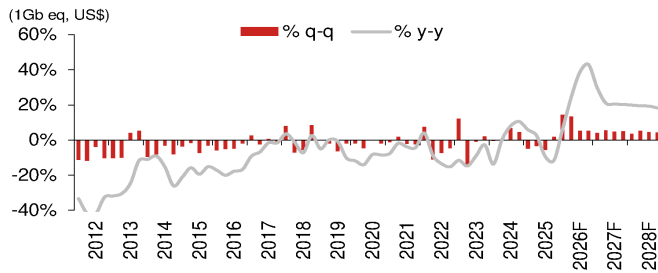


Sources: Company data, Nomura estimates

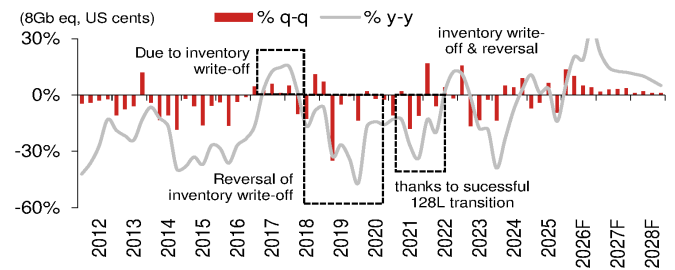
Fig. 18: Hynix – NAND ASP change (q-q %, y-y %)



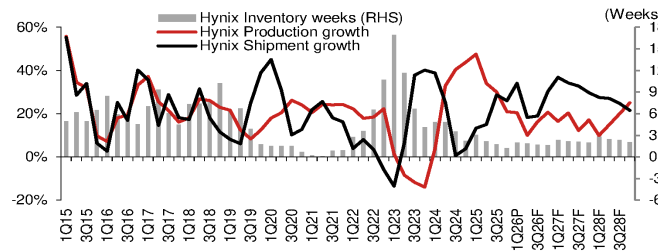
Sources: Company data, Nomura estimates

Fig. 19: Hynix – DRAM cost trend (q-q %, y-y %)

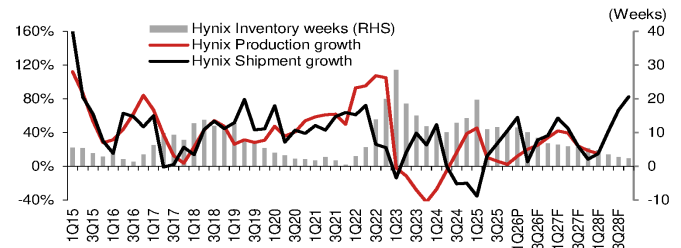
Source: Company data, Nomura estimates

Fig. 20: Hynix – NAND cost trend (q-q %, y-y %)

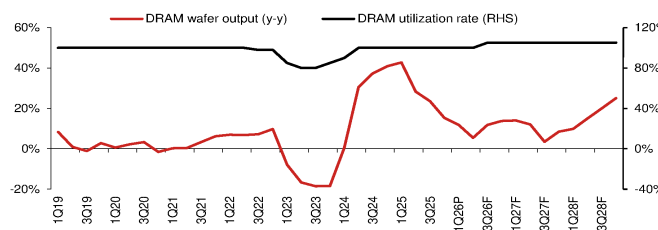
Source: Company data, Nomura estimates

Fig. 21: Hynix – DRAM production and shipments growth and inventory

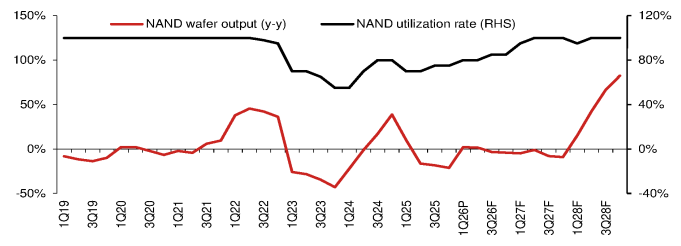
Source: Company data, Nomura estimates

Fig. 22: Hynix – NAND production and shipments growth and inventory

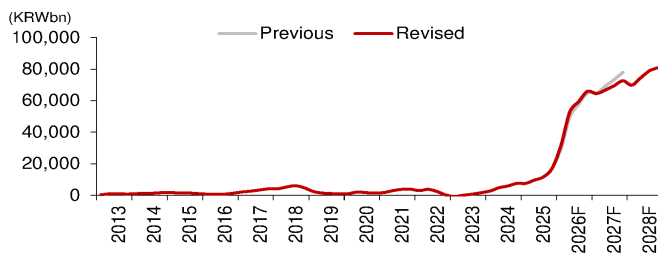
Source: Company data, Nomura estimates

Fig. 23: Hynix – DRAM wafer output and utilization

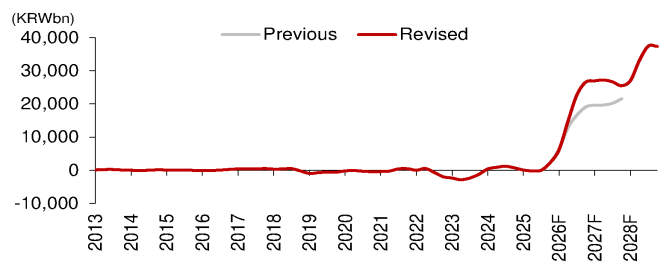
Source: Company data, Nomura estimates

Fig. 24: Hynix – NAND wafer output and utilization

Source: Company data, Nomura estimates

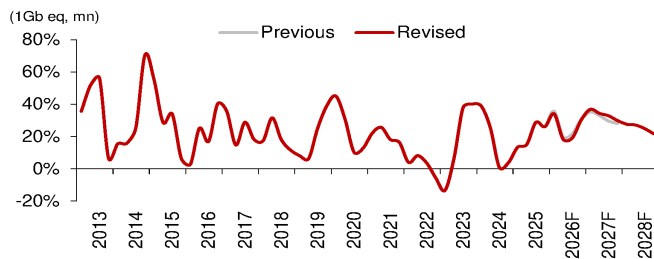
Fig. 25: Hynix – DRAM OP

Source: Company data, Nomura estimates

Fig. 26: Hynix – NAND OP

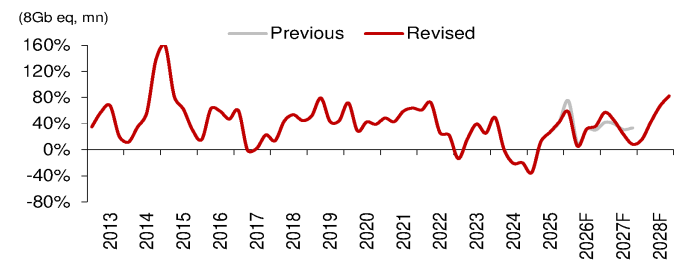
Source: Company data, Nomura estimates

Fig. 27: Hynix – DRAM bit growth (y-y, %)



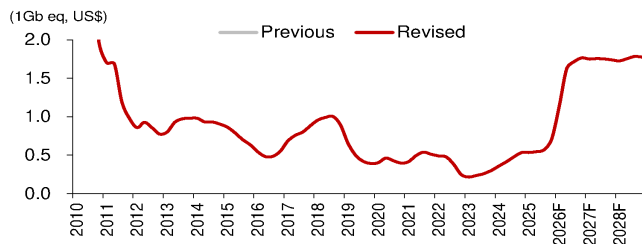
Sources: Company data, Nomura estimates

Fig. 28: Hynix – NAND bit growth (y-y, %)



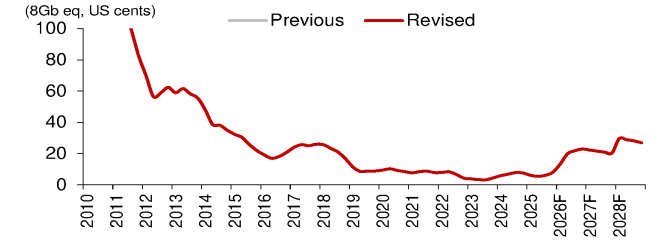
Sources: Company data, Nomura estimates

Fig. 29: Hynix – DRAM ASP forecasts



Sources: Company data, Nomura estimates

Fig. 30: Hynix – NAND ASP forecasts



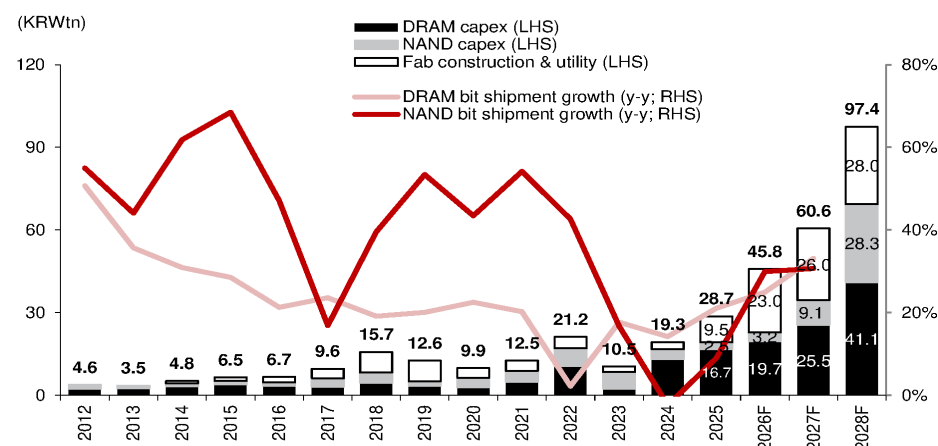
Sources: Company data, Nomura estimates

Fig. 31: Estimated token consumption by prompt cases

	Main hardware	Estimated token consumption per case							
		Simultaneous interpretation	Simple question	Structured constraint	Style expansion	RAG question	Image generation	Agent AI (report + model)	1-hour video generation
User's prompt input	CPU + DRAM	(instant translation)	"How's the weather today?"	"How's the weather today? Please answer in 5 words or less"	"How's the weather today? Please answer like a poet."	"Explain about reasons behind national debt increase"	"Please describe today's weather in an abstract painting."	"Make earnings models and company note based on the model"	"Make a 1-hour video describing recent weather"
Scheduling	CPU + DRAM								
Input token	GPU + HBM	10	10	20	25	40	20	500	10
RAG	CPU + DRAM	-	-	-	-	5,000	-	20,000	-
Output token generation	GPU + HBM/LPU	30	20	5	100	1,000	10,000	10,000	100,000,000

Source: Nomura estimates

Fig. 32: Hynix – capex and memory bit shipments outlook



Sources: Company data, Nomura estimates

Fig. 33: Hynix – FCF/EV, FCF/MC analysis

(W bn)	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026F	2027F	2028F
Operating cash flow	14,691	22,227	6,550	12,315	19,798	14,781	4,278	29,796	53,373	184,048	325,484	366,051
NP	10,642	15,540	2,009	4,759	9,616	2,242	-9,138	19,797	42,948	234,239	304,157	352,286
Dep	5,026	6,428	8,620	9,772	10,657	14,151	13,674	12,582	13,930	16,567	22,657	33,753
working capital change	-3,190	-1,997	270	-1,650	-3,018	-2,690	794	-5,600	-2,881	-69,159	-830	-19,488
Investment Cash Flow	-11,919	-21,429	-10,451	-11,840	-22,392	-17,884	-7,335	-18,005	-48,054	-43,003	-62,343	-97,411
Capex	-9,128	-16,036	-13,920	-10,069	-12,487	-19,010	-8,325	-15,946	-27,519	-42,657	-61,000	-96,000
Others	-2,791	-5,393	3,469	-1,772	-9,906	1,127	990	-2,059	-20,535	-346	-1,343	-1,411
Free Cash Flow	5,562	6,191	-7,371	2,246	7,311	-4,230	-4,047	13,850	25,854	141,391	264,484	270,051
Share holder return (cashflow basis)	424	2,443	1,412	1,000	1,311	1,973	1,002	934	12,927	70,695	132,242	135,026
% of previous year's free cashflow	8%	39%	-19%	45%	18%	-47%	-25%	7%	50%	50%	50%	50%
sharebuy back	0.0	1,736.5	385.8	315.7	506.4	291.7	176.2	108.0	10,861.3	63,625.9	119,017.8	134,056.3
cash dividend	424	706	1,026	684	805	1,681	826	826	2,066	7,070	13,224	969
Net Cash	3,454	3,096	-6,529	-6,304	-7,041	-16,884	-20,548	-8,528	12,694	155,820	354,366	622,036
Share price	76,500	60,500	94,100	118,500	131,000	75,000	141,500	173,900	651,000	1,225,000	1,225,000	1,225,000
outstanding shares ex T.S.	706	684	684	684	688	688	688	689	689	689	646	646
common	706	684	684	684	688	688	688	689	689	689	646	646
preferred	0	0	0	0	0	0	0	0	0	0	0	0
Market cap exc. Treasury shares	54,009	41,382	64,364	81,054	90,078	51,574	97,372	119,751	448,290	843,556	791,595	791,595
EV	50,555	38,286	70,894	87,358	97,119	68,458	117,920	128,278	435,595	687,737	437,229	169,559
Free cash / EV	11.0%	16.2%	-10.4%	2.6%	7.5%	-6.2%	-3.4%	10.8%	5.9%	20.6%	60.5%	159.3%
Free cash / MC	10.3%	15.0%	-11.5%	2.8%	8.1%	-8.2%	-4.2%	11.6%	5.8%	16.8%	33.4%	34.1%

Note: 2016-2025 share prices are as of year-end; 2026-28F share prices are as of 23 April 2026.

Sources: Company data, Nomura estimates

Appendix A-1

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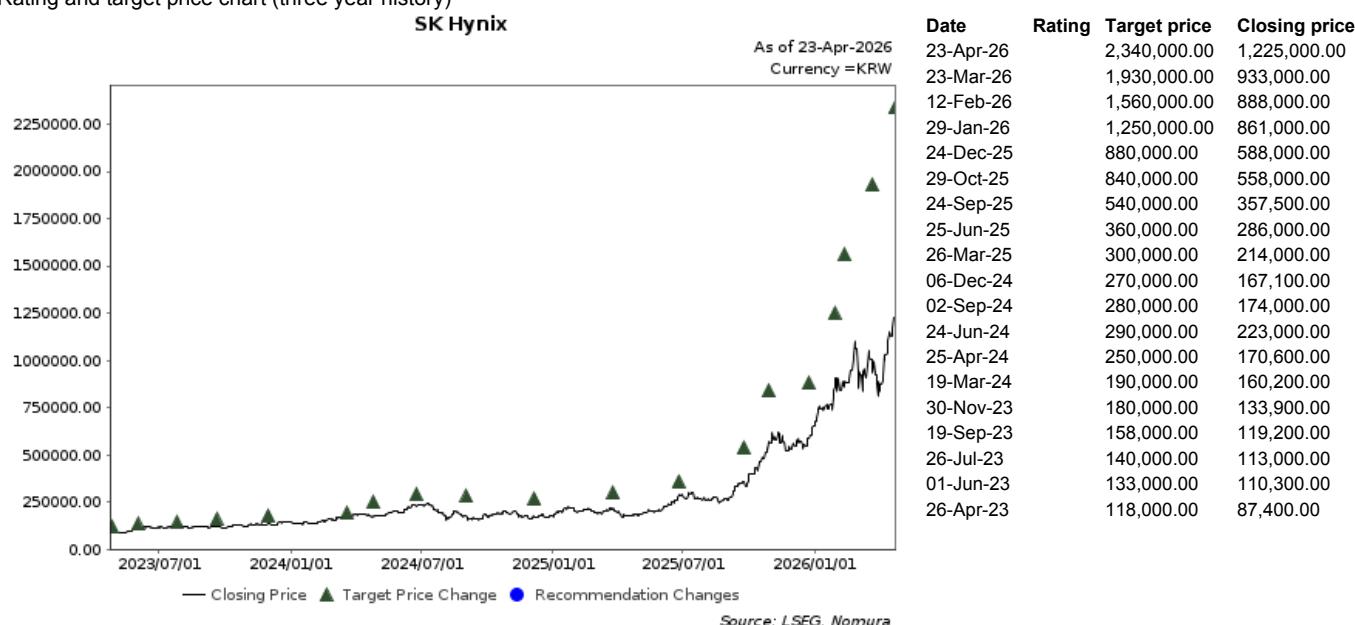
Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
SK Hynix	000660 KS	KRW 1,286,000	30-Apr-2026	Buy	N/A	
Samsung Electronics	005930 KS	KRW 220,500	30-Apr-2026	Buy	N/A	
Taiwan Semiconductor Manufacturing Corp	2330 TT	TWD 2,135.00	30-Apr-2026	Buy	N/A	
Kioxia Holdings	285A JP	JPY 36,410	01-May-2026	Buy	N/A	A6

A6 The Nomura Group expects to receive or intends to seek compensation for investment banking services from the subject company in the next three months.

SK Hynix (000660 KS)

KRW 1,286,000 (30-Apr-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



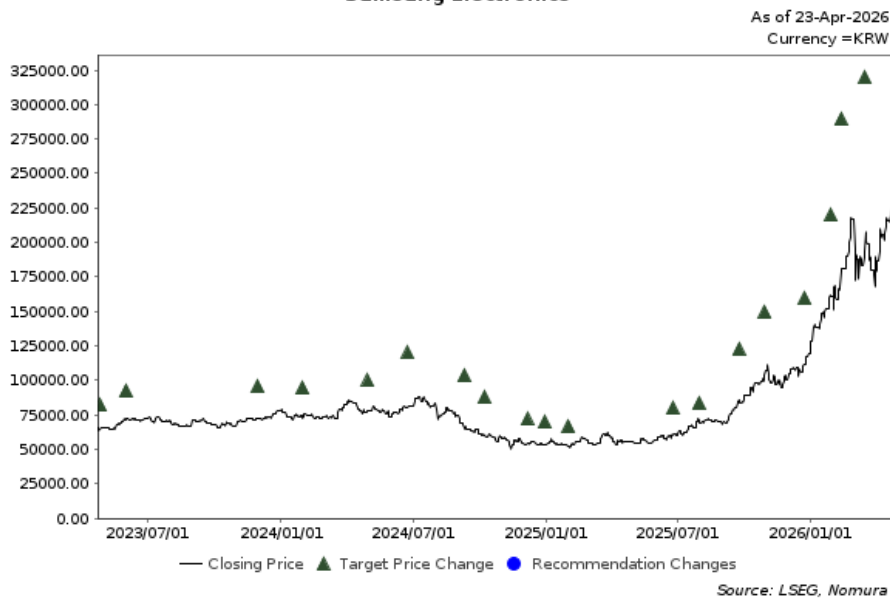
For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our 12-month target price of KRW2,340,000 is derived by applying a target P/B of 3.5x to 12MF BVPS of KRW668,186. The benchmark index for this stock is the KOSPI 200.

Risks that may impede the achievement of the target price US tariffs on semiconductor products

Samsung Electronics (005930 KS)**KRW 220,500 (30-Apr-2026) Buy** (Sector rating: N/A)

Rating and target price chart (three year history)

Samsung Electronics

Date	Rating	Target price	Closing price
17-Mar-26		320,000.00	193,900.00
12-Feb-26		290,000.00	178,600.00
29-Jan-26		220,000.00	160,700.00
24-Dec-25		160,000.00	111,100.00
30-Oct-25		150,000.00	104,100.00
24-Sep-25		123,000.00	85,400.00
31-Jul-25		84,000.00	71,400.00
25-Jun-25		80,000.00	61,300.00
01-Feb-25		67,000.00	52,400.00
30-Dec-24		70,000.00	53,200.00
06-Dec-24		72,000.00	54,100.00
08-Oct-24		88,000.00	60,300.00
10-Sep-24		104,000.00	66,200.00
24-Jun-24		120,000.00	80,600.00
30-Apr-24		100,000.00	77,500.00
31-Jan-24		95,000.00	72,700.00
30-Nov-23		96,000.00	72,800.00
01-Jun-23		93,000.00	70,900.00
27-Apr-23		82,000.00	64,600.00

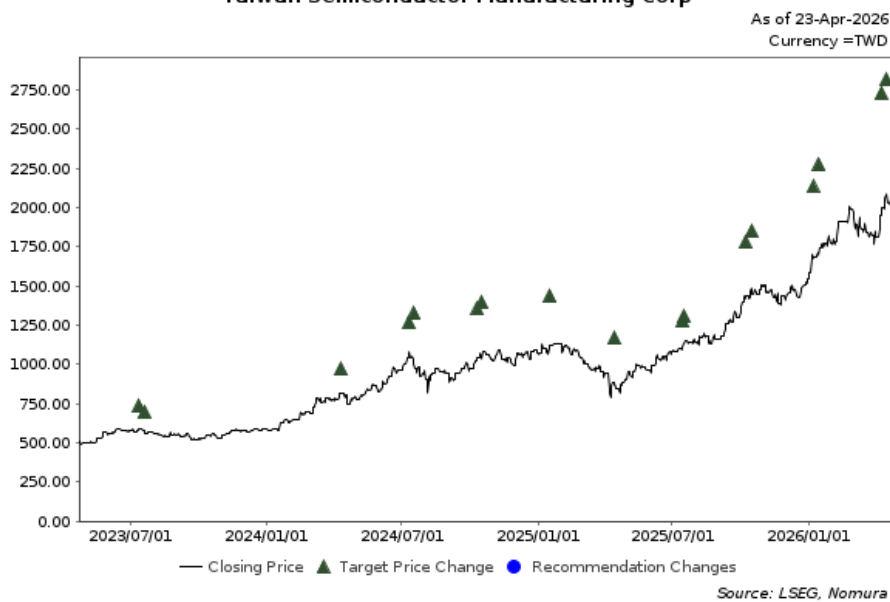
For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our 12-month TP of KRW340,000 is derived by applying a target P/B of 3.0x to KRW112,439, which is Samsung Electronics' 12MF BVPS discounted by 4% (reflecting potential increase in bonus expenses). Our target P/B of 3.0x is based on SEC's historical P/B level recorded during 2002-06 NAND boom. The benchmark index for the stock is the KOSPI 200.

Risks that may impede the achievement of the target price Downside risk includes failure to supply HBM4 to Nvidia.

Taiwan Semiconductor Manufacturing Corp (2330 TT)**TWD 2,135.00 (30-Apr-2026) Buy** (Sector rating: N/A)

Rating and target price chart (three year history)

Taiwan Semiconductor Manufacturing Corp

Date	Rating	Target price	Closing price
16-Apr-26		2,820.00	2,085.00
09-Apr-26		2,735.00	1,955.00
15-Jan-26		2,280.00	1,690.00
07-Jan-26		2,135.00	1,675.00
16-Oct-25		1,855.00	1,485.00
08-Oct-25		1,780.00	1,415.00
17-Jul-25		1,310.00	1,130.00
15-Jul-25		1,280.00	1,110.00
14-Apr-25		1,170.00	865.00
17-Jan-25		1,440.00	1,120.00
17-Oct-24		1,400.00	1,035.00
11-Oct-24		1,355.00	1,045.00
18-Jul-24		1,330.00	1,005.00
11-Jul-24		1,270.00	1,080.00
10-Apr-24		975.00	815.00
20-Jul-23		700.00	579.00
13-Jul-23		740.00	585.00

For explanation of ratings refer to the stock rating keys located after chart(s)

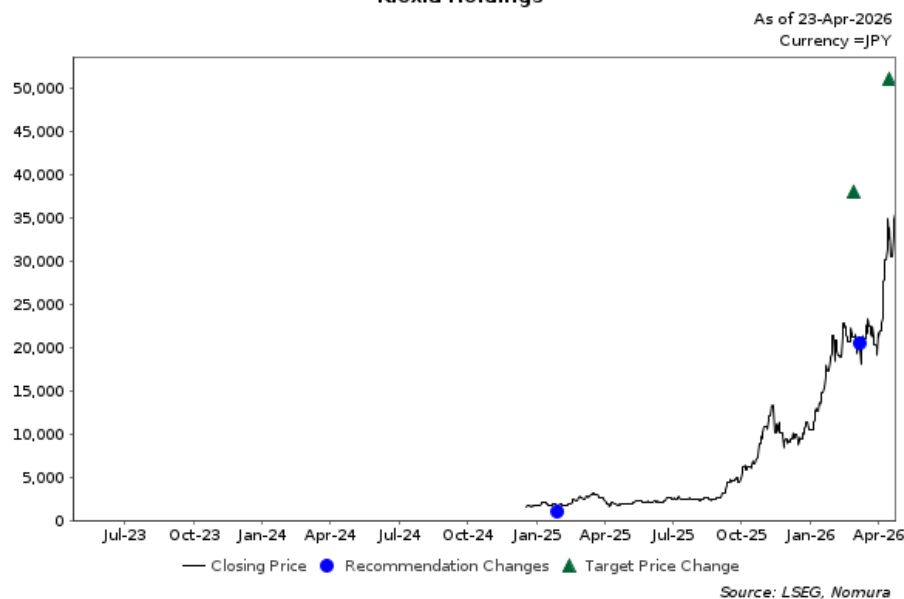
Valuation Methodology Our TP of TWD2,820 is based on 25x 2026-27F average EPS. Our target P/E is at the higher end of historical range. The benchmark index for the stock is Taiwan TAIEX and SOX.

Risks that may impede the achievement of the target price Major downside risks are: 1) top-down macro issues because of US-China trade tensions; 2) weaker-than-expected sell-through compared with strong demand in the supply chain; 3) slower-than-expected technology migration; and 4) stronger-than-expected competition in advanced 5/3nm nodes.

Kioxia Holdings (285A JP)

JPY 36,410 (01-May-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)

Kioxia Holdings

Date	Rating	Target price	Closing price
15-Apr-26		51,000	32,410
27-Feb-26	Buy		21,210
27-Feb-26		38,000	21,210
20-Jan-25	Not Rated		1,708.0

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We obtain our target price of ¥51,000 by multiplying our 27/3 free cash flow (FCF) forecast by a fair-value market cap (MC)/FCF ratio of 10.0x, referencing the peak MC/trailing FCF (past 12 months) ratio for Micron Technology and SK Hynix during upcycles since 2011.

Risks that may impede the achievement of the target price Risk factors include: (1) sluggish NAND demand because of a slowdown in AI investment or a downturn in consumer sentiment; (2) deterioration in the competitive environment due to factors including the emergence of new NAND producers; (3) forex movements; (4) parts supply risks; and (5) the emergence of new technologies.

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As at 31 March 2026.

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